

venture less likely to succeed.” The sequence of trades sounded like a series of 10 to 1 bets that all paid off in a giant profit pyramid. Yet when I read the descriptions of each of the trades, my impression was: That’s not luck; that’s actually a great asymmetric trade, which makes all the sense in the world. As I read it, you were finding greatly underpriced options, or investments with option-like characteristics, and taking advantage of the opportunity for a reasonable possibility of very large gains with well-defined, limited risk.

I didn’t think that came across in the book.

Well, I think it was mostly between the lines. I assume the average reader probably wouldn’t have come away with that impression. But the facts were there, so you could draw your own conclusions.

I’m glad you drew the ones you did.

While I can understand how some of your trades could make literally multiples of the investment, I was puzzled by the magnitude of the gains indicated by Lewis. Based on the numbers in the book, it sounded like you multiplied your initial \$110,000 stake more than a thousandfold, which sounds a bit incredulous.

It is, though in fairness to Michael he had one major constraint in telling our story, which was that he had to leave my family out of it. My father has run one of the oldest leveraged buyout firms in the United States for over 20 years, and before that he ran the investment bank for Lehman Brothers. Cornwall Capital is a family office he and I formed together in 2002. The whole conceit of three dropouts lacking in direction and operating on a shoestring budget made good copy while preserving my family’s privacy, but it didn’t accurately reflect the fact that we had capital and a clear idea of how we wanted to evolve our investment approach. We did our first trade in my small Schwab account because we hadn’t finalized the structure of the family’s comingled investment vehicle. So, the \$110,000 figure was accurate, in a narrow sense; it just was not representative because there was a lot more capital behind it, and we had a clear plan for the extension of the strategy.

I noticed that you were a history major in college. That hardly sounds like the background of someone looking to get into trading. Were your